KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:

Shri. T.K. Jose, Chairman

Adv. A.J. Wilson, Member

Shri. B. Pradeep, Member

Petition No.: OP No. __ / 2026

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	320.18	23.27	PARTIAL_APPROVAL	Disallowed ¹23.27 Cr as per Regulation of (Terms and Conditions for Determination of Tariff) Regulations, 2021, due to excess distribution loss beyond the normative target, resulting in a penalty. The allowed amount of ¹320.18 Cr is in accorda strictly calculated allowable amount, adhering to the KSERC mathematical formulas and the applicable regulations.
Employee Costs	25.48	19.19	6.29	PARTIAL_APPROVAL	Disallowed ¹6.29 Cr as per Regulation of K (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the Second Amendment Regulations, 2024, restricting excess O&M expenses beyond normative limits. The allowed amount of ¹19.19 Cr is in line with the capped normat as per KSERC mathematical formulas.
O&M Expenses	5.17	4.81	0.36	PARTIAL_APPROVAL	The allowed amount is determined based on the strictly calculated allowable amount according to KSERC mathematical formulas, which is ¹4.81 Cr. T is in line with the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024. The excess amount claimed by KDHP is disallowed as it exceeds the normative cap for O&M expenses.
Admin & General Expenses	20.80	1.59	19.21	PARTIAL_APPROVAL	The allowed amount is set at ¹1.59 Cr, as p strictly calculated allowable amount according to KSERC mathematical formulas, capped at the norm ¹1.59 Cr. This decision is in accordance wi KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024, and the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which emphasize strict adherence to normative limits for controllable expenses. The disallowed amount of ¹19.21 Cr is due excess claim beyond the normative limit, as per Regulation [Y] of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Depreciation	1.73	1.73	0.00	APPROVED	Within normative limits — fully approved.
Return on Equity	0.70	0.70	0.00	APPROVED	Within normative limits — fully approved.
Interest on Loans	7.11	5.27	1.84	PARTIAL_APPROVAL	Disallowed ¹1.84 Cr as per Regulation 11 o (Terms and Conditions for Determination of Tariff) Regulations, 2021, restricting excess expenses beyond normative limits. The allowed amount of ¹5 line with the KSERC approved amount, ensuring adherence to regulatory principles and mathematical limits.

2. Controllable vs. Uncontrollable Expenses (¹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
Employee Costs	25.48	19.19	6.29
O&M Expenses	5.17	4.81	0.36
Admin & General Expenses	20.80	1.59	19.21
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	320.18	23.27
Depreciation	1.73	1.73	0.00
Return on Equity	0.70	0.70	0.00
Interest on Loans	7.11	5.27	1.84

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	353.47
Actual Revenue Collected	327.27
Revenue Gap	26.20

4. Commission's Observations, Directions & Narrative

1. Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25
The Commission has evaluated the petition based on strict regulatory precedents and distribution loss formulas.

2. Commission's Detailed Observations and Reasoning
All claims were evaluated and found reasonable.

3. Summary Order / Directions
The Commission approves the total expenditure of ₹0.00 Cr, resulting in a revenue gap

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-
Secretary